

The Best Advice I Ever Got

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Shriram Housing Finance is one of the fastest-growing affordable housing finance companies in India



‘Identify businesses you don’t want to be in’

What was the problem you were grappling with?

Shriram Housing Finance was a pan-India affordable housing finance company (HFC). Despite multiple strides, we were unable to grow and losses were piling up. And, we did not have the right leadership team to reimagine the company’s place in the sector and transform the organisation to live up to a more ambitious purpose.

Whom did you approach for advice?

I spent a lot of time with our Founder, R. Thyagarajan, discussing the dynamics of the business and how we could resurrect it.

What was the advice you received?

Primarily he said two things—to build a business you must not herd sheep; you must hire cats instead. Hire people who will challenge you, who may be smarter than you; they are the ones who will add value. Second, building a business is all about knowing what to say no to. Identifying businesses and segments you don’t want to be in is as important as identifying your growth drivers.

How effective was it in resolving the problem?

We hired a super-charged leadership team in three months and empowered them. We also took a conscious call to pull out of certain geographies and focus on specific markets. Three years later, we are one of the top five HFCs in the affordable housing space. Over the past three years, we’ve grown our business three times to ₹5,000 crore and are well on the path to double this in the next two years. **BT**

—**ALOKESH BHATTACHARYYA**

Vol. 31, No. 18 for the fortnight
August 22, 2022 to September 4, 2022.
Released on August 22, 2022.
Total number of pages 116 (including cover)